

B.FED Community

Broker Mechanism White Paper

(Complete Version)

December 21, 2025

I. Mechanism Positioning Statement

The B.FED Community adopts a transaction structure combining **system pricing + broker performance**.

Under this structure:

- Transaction prices are uniformly set and adjusted by the system
- Brokers do not participate in price speculation
- The core responsibility of brokers is to:
Continuously provide genuine, executable liquidity at system-determined prices

Therefore, brokers in B.FED are not speculative roles but **executive nodes for system liquidity**.

Fixed Premises (Non-Negotiable)

- All buy orders placed by brokers are deemed genuine, immediately executable commitments.
- Upon successful system matching, the transaction enters a performance countdown.
- Performance Time Limit: 15 minutes
No exceptions.

II. Overall Transaction Structure

1. Basic Transaction Price Rules

- Regular Members ↔ Brokers: Fixed price of \$0.0428 per Nectar
- Brokers ↔ Brokers: Fixed price of \$0.2854 per Nectar (no handling fees)

Brokers' profit source is a fixed spread:\$0.0428 per Nectar

This is service revenue, not profit from price fluctuations.

2. C2C Transaction & Automatic Matching Instructions

In the C2C channel:

- Brokers may place genuine buy orders
- Regular members can search by quantity and complete peer-to-peer transactions

Meanwhile, the system supports automatic matching:

- Regular members issue sell orders
- If there is a broker's buy order with a matching quantity
- The system will automatically complete the matching and initiate the performance process

All transactions occur between "Regular Members ↔ Brokers".

III. Performance Mechanism & Time Constraints

1. Performance Commitment Principle

Placing an order equals a commitment; matching triggers performance obligations. Once a broker places a buy order, it is deemed an explicit commitment to the system and users.

2. 15-Minute Performance Deadline (Hard Rule)

- Upon successful transaction matching
- The system immediately starts a 15-minute countdown
- Brokers must complete the transaction within the specified time

Failure to meet the deadline will be automatically deemed non-performance by the system; no manual explanations are accepted.

3. Definition of Inaction

The following behaviors are deemed violations:

- Prolonged unresponsiveness
- Deliberate delays
- Being uncontactable after placing orders
- Refusing to perform obligations during run-on scenarios

Inaction itself constitutes a system risk.

IV. Broker Collateral Mechanism (Core Chapter)

1. Design Purpose of the Collateral Mechanism

The purpose of introducing the collateral mechanism in B.FED is neither to collect fees nor impose penalties, but to:

- Prevent broker inaction
- Avoid untrustworthy order placement
- Ensure system controllability even under extreme conditions

The essence of collateral is the **institutionalized expression of performance credit**.

2. Type of Collateral Asset

- Collateral Asset: Nectar
- Nectar under collateral status:
 - Locked by the system
 - Non-tradable
 - Cannot be used to redeem task packages

3. Basic Principles of Collateral

The collateral mechanism of B.FED adheres to the following principles:

- Collateral $\neq$ Full Guarantee

- Collateral is used to constrain behavior, not cover all losses
- Default must incur definite costs
- Continuous non-performance will result in automatic elimination by the system

V. Broker Collateral & Tiered Access Mechanism

5.1 Explanation of Broker Tiered Access

The B.FED Community adopts a proactive access system for broker tiers. Brokers' tiers are not dynamically calculated by the system; instead:

- Brokers independently select their tier and complete the corresponding one-time collateral
- This unlocks the maximum order placement authority for that tier

Core principles of this mechanism:

- Responsibility upfront
- Risk controllability
- Clear rules

5.2 Broker Tiers & Collateral Standards

Tier	Required Pre-Collateral (Nectar)	Order Placement Range (Quantity)
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L1	600	5 – 500
L2	1000	5 – 1500
L3	1500	5 – 3000
L4	3000	5 – 5000

Notes:

- Collateral is locked one-time in advance
- Assets cannot be traded or transferred during the collateral period
- Brokers can freely select the order quantity within the corresponding range

5.3 Design Purpose of the Collateral Mechanism

The collateral mechanism is not designed to fully guarantee transaction amounts, but to:

- Prevent malicious order placement
- Discourage inaction and delayed performance
- Ensure the system has automatic disciplinary capabilities under extreme conditions

The essence of collateral is the **institutional constraint on "performance commitments"**.

VI. Performance Violations & Three-Strike Penalty Mechanism (Key Chapter)

6.1 Definition of Violations

The system will determine the following scenarios as performance violations:

- Failure to complete the transaction within 15 minutes after successful matching
- Unresponsiveness or deliberate delays
- Being uncontactable after placing orders
- Refusing to accept orders when the system is operating normally

Violation determinations are fully automated by the system; no manual appeals are accepted.

6.2 Explanation of the Three-Strike Penalty Mechanism (Core)

B.FED adopts a progressive three-strike penalty mechanism for broker violations:

First Violation (Warning Level)

- Broker tier remains unchanged
- The system records one violation

- Purpose: Clarify violation costs and provide an opportunity for correction

Second Violation (Restriction Level)

- Deduction of 25% of collateral Nectar
- Deducted penalty deposits are non-refundable
- Purpose: Prevent continuous inaction and proactively mitigate system risks

Third Violation (Expulsion Level)

- Revocation of broker qualification
- Full refund of remaining collateral Nectar and revocation of broker status
- Cooling-off period: Ineligibility to reapply for broker status within 30 days
- After the cooling-off period, reapplication is permitted
- Purpose: Eliminate long-term untrustworthy nodes from the system

6.3 Core Principles of the Penalty Mechanism

- No one-time permanent restriction
- No reliance on manual judgment
- No gray areas for discretion

- All rules are publicly disclosed and clearly communicated in advance

VII. Default Handling & System Penalty Mechanism

1. Single Default Handling

- Deduction of a proportional amount of collateral Nectar
- Collateral is used for system compensation or risk buffer

2. Continuous Violations & Non-Performance

- Penalty of collateral security deposit
- Revocation of broker status
- Status freeze followed by processing after the system cooling-off period

All processes are automatically executed by the system with no room for manual discretion.

IX. Broker Application, Withdrawal & Cooling-Off Period Mechanism

9.1 Broker Application Mechanism

The B.FED Community adopts a systematic broker application mechanism with no manual approval process.

Application Requirements

- Normal user account status
- Explicit selection of broker tier (L1–L4)
- Completion of the corresponding tier's Nectar collateral in advance

Application Process

- User initiates a broker application in the system
- Selects the desired broker tier
- The system automatically deducts the corresponding collateral Nectar
- The application takes effect immediately, and broker privileges are granted

Notes:

- The entire process is fully automated
- No manual screening or subjective discretion is involved

9.2 Voluntary Broker Withdrawal Mechanism (No Violation Precondition)

Withdrawal Right Explanation

Brokers have the right to voluntarily apply to withdraw their broker status **without outstanding orders**. This right is explicitly guaranteed by the B.FED system.

Withdrawal Application Conditions

To apply for withdrawal, the following conditions must be met simultaneously:

- No outstanding orders
- No ongoing performance transactions in countdown
- No pending purchase or transfer orders

Withdrawal Process Explanation

- Broker submits a withdrawal application
- The system immediately performs the following operations:
 - Prohibits new order placements
 - Retains existing performance obligations
- Collateral security deposit is returned via the original route
- The account enters a withdrawal cooling-off period

9.3 Withdrawal Cooling-Off Period Mechanism (Important)

Cooling-Off Period Setting

- Duration: 30 days
- During the cooling-off period:

- Broker status is frozen, reverting to regular member status
- Reapplication for broker status is not permitted

Handling After Cooling-Off Period

If no abnormalities are recorded:

- The system automatically lifts the restriction
- Reapplication for broker status is allowed

9.4 Differences Between Voluntary Withdrawal and Violation

Expulsion

Item	Voluntary Withdrawal	Violation Expulsion
Voluntary Nature	Yes	No
Involves Violation	No	Yes
Cooling-Off Period	Yes	Yes
Collateral Handling	Immediate full refund	Processed per penalty rules
Reapplication Eligibility	Permitted after cooling-off	Permitted after cooling-off

X. Mechanism Summary

The design objectives of the B.FED Broker Mechanism are:

- Stability over excitement
- Performance over promises
- System trust over personal credit

Brokers are not privileged roles but **system responsibility nodes**.

B.FED supports brokers' free entry and exit from the system, but does not allow any role to exit before fulfilling their responsibilities.

Exit is a right; performance is a prerequisite; cooling-off is a protection.